Sometime in October 1983, the US embassy in Dhaka reported that Ershad had been forced in his official role to recognise the reality of Indian dominance and tried to approach bilateral problems with moderation, to the point that some Bangladeshis considered him 'soft on India'. Probably in an attempt to counter this perception, Ershad publicly criticised New Delhi. The report further said:

In our view, India would no doubt favour a return to power of the Awami League, which with Indian assistance, led Bangladesh to independence. However, India recognises that this is not likely to occur. We doubt, however, that

India want[s] the political situation in Bangladesh to deteriorate to a point that would lead to control by radical parties of either extreme.

We believe several areas of dispute between Bangladesh and India could strain relations and lead to instability in Bangladesh and regional turmoil on the sub-continent. The most pressing is the water-sharing problem. Seasonal water shortages and floods are chronic in Bangladesh, and the overpopulated, largely agrarian society depends heavily on the Ganges and Brahmaputra rivers, which flow through the country. Because both rivers enter Bangladesh from India, their technical management and control continue to be a sensitive political issue. We believe New Delhi recognises that instability in Bangladesh could affect the stability of the entire region.

A spy codenamed Vibhas who had served in Bangladesh told me that the USA was more worried about the Soviet Union's influence in Dhaka and that the CIA had deployed its covert machinery to neutralise Russian penetration. This was the period of intense cold war and the USSR was adamantly